
Reorder Point Planning

Use

In reorder point planning, procurement is triggered when the sum of plant stock and firmed receipts falls below the **reorder point** .

Features

The **reorder point** should cover the average material requirements expected during the replenishment lead time.

The **safety stock** exists to cover both excess material consumption within the replenishment lead time and any additional requirements that may occur due to delivery delays. Therefore, the safety stock is included in the reorder level.

The following values are important for defining the reorder point:

- Safety stock
- Average consumption
- Replenishment lead time

The following values are important for defining the safety stock:

- Past consumption values (historical data) or future requirements
- Vendor/production delivery timelines
- Service level to be achieved
- Forecast error, that is, the deviation from the expected requirements

Manual Reorder Point Planning

In manual reorder point planning, you define both the reorder level and the safety stock level manually in the appropriate material master.

Automatic Reorder Point Planning

In automatic reorder point planning, both the reorder level and the safety stock level are determined by the integrated forecasting program.

The system uses past consumption data (historical data) to forecast future requirements. The system then uses these forecast values to calculate the reorder level and the safety stock level, taking the service level, which is specified by the MRP controller, and the material's replenishment lead time into account, and transfers them to the material master.

Since the forecast is carried out at regular intervals, the reorder level and the safety stock level are continually adapted to the current consumption and delivery situation. This means that a contribution is made towards keeping stock levels low.